Figure 75.2 Price met the target in this example on time.

Point 4. This is another valley or minor low that follows peak 3. The valley must be above the price of turn 2 so that lines joining turns 1 and 3 with another line connecting 2 and 4 converge. It should look like a rising wedge, because that's what it is.

Point 5. Turn 5 must be above peak 3. It forms from and after the valley of turn 4. Here's the tricky part. In my model, I like to see turn 5 line up with peaks 1 and 3 but provide a minor amount of wiggle room (see the chart, where point 5 is marginally above the top trendline).

According to Wolfe, you can draw a line starting at the top of point 3, parallel to line 2–4. If price stays within the area defined by this new line and line 1–3 (extended into the future), then point 5 is fine. It's what Wolfe calls the sweet spot. They key to point 5 is you're expecting the stock to drop after it appears.

Volume should increase on the day point 5 peaks and drop thereafter (for a few days, anyway). Otherwise, he says to be suspicious of the pattern. If volume is low, he suggests looking at a shorter time scale for a fractal Wolfe wave (a shorter Wolfe wave buried within the longer one).

In Figure 75.2, the stock *does* show increased volume at turn 5, and it's heavier than the prior week. But the following day, as price drops, volume